Consolidated Financial Analysis: Wahed Inc.

Based on the Summary Due Diligence Report (October 2024)

This report summarizes the financial standing of Wahed Inc. based on the draft 2023 consolidated financial statements.

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1. Consolidated Balance Sheet Summary

As of December 31, 2023 (Figures in USD)

Category	Amount ($)
Total Current Assets	**7,848,685**
Cash and cash equivalents	6,375,129
Accounts receivable, net	753,784
Total Non-Current Assets	**13,797,861**
Financial Assets (Client Investments)	9,646,937
Goodwill	2,088,755
Total Assets	**21,646,546**
Total Current Liabilities	**2,859,983**
Total Non-Current Liabilities	**10,311,378**
Financial Liabilities (Due to Clients)	9,785,365
Total Liabilities	**13,171,361**
Total Stockholders' Equity	**8,475,185**

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2. Consolidated Statement of Cash Flows

For the year ended December 31, 2023

Activity Description	Amount ($)
Cash flows from operating activities:	
Net Loss	(15,265,330)
Fair Value Loss on Financial Assets and Liabilities, Net	(32,955)
Adjustments & Changes in Working Capital:	
Depreciation and amortization	187,481
Income Tax Expenses	199,359
Net change in operating assets and liabilities	(14,905,646)
Net cash used in operating activities	**(13,804,463)**
Cash flows from investing activities:	
Purchase of Fixed Assets (Net)	(463,838)
Goodwill (Acquisitions)	(1,830,396)
Other Investing Activities (Assets/WIP)	238,287
Net cash used in investing activities	**(2,055,947)**
Cash flows from financing activities:	
Capital Contributions	4,662,806
Lease Liability (Net)	(81,304)
Net cash provided by financing activities	**4,581,502**

Activity Description	Amount ($)
Effect of exchange rate changes	(284,062)
Net change in cash during the period	**(11,562,970)**
Balance at end of period	**6,375,129**

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3. Financial Health & Risk Analysis

A. Liquidity and Runway

- **Net Operating Loss (Annual):** $15,033,016
- **Implied Monthly Burn Rate:** ~$1,252,750
- **Estimated Cash Runway: ~5.1 Months** (Based on $6.37M cash balance).
- **Conclusion:** The company is heavily reliant on "continuous inflow of capital" from investors to sustain operations, as breakeven has not yet been achieved.

B. Asset Quality and Composition

- **Custodial Inflation:** $9.6M of the total assets are "Financial Assets" representing client investments. These are strictly offset by $9.7M in liabilities due back to clients, meaning they do not represent operational capital.
- **Goodwill:** $2.08M (approx. 10% of total assets) stems primarily from 2023 acquisitions (Iwill Solicitors Ltd. & Iwaqf Ltd.). A discrepancy was noted between the notes and the recognized addition in the draft accounts.

C. Critical Risk Flags

1. **Audit Status:** At the time of the report, the 2023 consolidated audit report had **not been signed off**. The report relies on draft figures.
2. **Going Concern:** Management acknowledges high setup costs and expansion efforts are driving losses, making the company dependent on external funding.
3. **Currency Exposure:** Only 63.1% of cash is held in USD, with significant exposure to GBP (14.8%) and SAR (11.1%). High depreciation of the Nigerian Naira (NGN) has already impacted capitalized expenses in that region.